PHARMACEUTICALS · Q1 FY27 RESULT UPDATE · NSE: SUNPHARMA · BSE: 524715

Sun Pharmaceutical Industries

A strong core business that is now being priced as a leveraged Organon bet. We see fair value close to the current price.

+16.0%
India formulations growth, Q1 FY27
Market share 8.5% (from 8.2%)

$351m
Innovative Medicines sales
+12.8% YoY; 21.9% of sales

−9.7%
US formulations ($427m)
Generic Revlimid erosion

2.3x
Net debt/EBITDA after Organon
from $3.4bn net cash

01 Investment view

- **The operating engine is in good shape.** Q1 FY27 revenue rose 10.5% to ₹15,300 Cr and EBITDA margin was 28.9%, 170 bps above consensus. India grew 16%, with about 60% of that growth from volume and new launches. Innovative Medicines ($1.42bn in FY26, +16.8%) is now larger than US generics.
- **But earnings quality is softening.** Adjusted PAT grew only 3.1% to ₹3,089 Cr. The tax rate rose to 27.8%, R&D was underspent at 5.4% of sales against 6–7% guidance, and US generics are shrinking with no lenalidomide-type replacement. We forecast standalone adjusted EPS of ₹52.6 in FY27E (+1%) and ₹59.1 in FY28E, below consensus (₹55/₹65).
- **Organon changes the investment case.** The $11.75bn deal, about 6.2x Organon's 2025 adjusted EBITDA, roughly doubles revenue. But about two-thirds of Organon is ex-growth, and the deal turns $3.4bn of net cash into about 2.3x leverage just as US pricing (MFN) and tariffs are being reset. We estimate it adds about ₹21 to FY28E EPS after funding costs.
- **Valuation sits close to fair.** At 33.5x TTM and 30x our FY28E standalone EPS, the stock is no longer expensive; it is down 14% from its high and has lagged Nifty Pharma by about 15 points over a year. But our fair value of **₹1,770** (30x standalone FY28E; 22x pro-forma) leaves little margin of safety.

> *Verdict: HOLD. We would build a position below ₹1,650, and upgrade on a clean Ilumya psoriatic arthritis approval (FDA action due 29 Oct) plus clarity on Organon financing costs.*

OUR CALL

HOLD

Fair value (12M)	₹1,770
CMP (12 Oct 2026)	₹1,760
Upside / downside	+0.6%
Accumulate below	₹1,650
Bull / Bear value	₹2,142 / ₹1,375

Stock data

Market cap	₹4,22,259 Cr
Shares outstanding (FV ₹1)	239.9 Cr
52-week high / low	₹2,047 / ₹1,584
1-yr return (Nifty Pharma)	+6.1% (+20.6%)
TTM P/E · P/B	33.5x · 5.1x
EV/EBITDA (TTM, est.)	~21.9x
Dividend yield (FY26 DPS ₹16)	0.91%
10Y G-Sec	7.30%

Shareholding (%)

	Jun-25 → Jun-26
Promoters	54.48 → 54.48
FIIs	17.26 → 14.54
DIIs	19.38 → 22.06
Public & others	8.87 → 8.92

Key financials (₹ Cr)

	FY26A · FY27E · FY28E
Revenue	58,462 · 64,308 · 70,739
EBITDA	16,501 · 18,006 · 20,161
Adj. PAT	12,461 · 12,616 · 14,173
Adj. EPS (₹)	51.9 · 52.6 · 59.1
P/E (x)	33.9 · 33.5 · 29.8

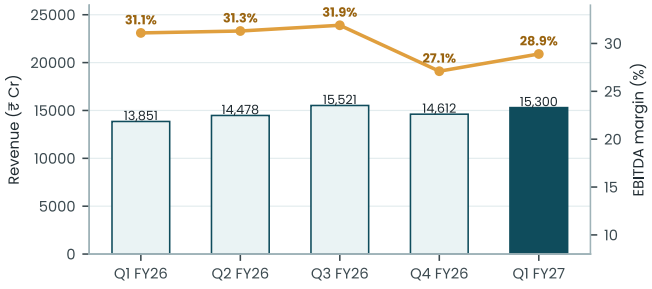
Standalone, ex-Organon. EBITDA on Screener basis (company-reported FY26: ₹17,731 Cr).

02 Q1 FY27: margins beat, earnings mix weaker

₹ Cr	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	YoY	QoQ
Revenue from operations	**13,851**	**14,478**	**15,521**	**14,612**	**15,300**	**10.5%**	**4.7%**
Gross margin	79.7%	79.4%	81.0%	80.8%	80.6%	+90 bps	-20 bps
EBITDA (company)	**4,302**	**4,527**	**4,948**	**3,954**	**4,418**	**2.7%**	**11.7%**
EBITDA margin	31.1%	31.3%	31.9%	27.1%	28.9%	-220 bps	+180 bps
R&D expense	~903	–	893	976	826	-8.5%	-15.4%
R&D % of sales	~6.5%	–	5.8%	6.7%	5.4%		
Exceptional items (pre-tax)	818.0	0	489.5	0	204.1		
Reported PAT (owners)	2,279	~3,118	~3,381	2,714	2,895	27.0%	6.7%
Adjusted PAT	**2,996**	**3,118**	**3,763**	**2,708**	**3,089**	**3.1%**	**14.1%**
EPS (₹)	9.50	13.00	14.04	11.31	12.10	27.4%	7.0%

Source: Company press releases (22 May and 31 Jul 2026), Screener.in, Business Standard, ICICI Securities (2 Aug 2026). Q1 FY26 R&D derived from the reported -8.5% YoY. Q2/Q3 FY26 PAT per Screener (includes minority interest). Adjusted PAT excludes exceptional items.

REVENUE AND EBITDA MARGIN BY QUARTER



VERSUS STREET CONSENSUS

Metric	Consensus	Actual	Variance
Revenue	15,625	15,300	-2.1%
EBITDA	4,255	4,418	+3.8%
EBITDA margin	27.2%	28.9%	+170 bps
Net profit	3,051	2,895	-5.1%

Consensus per NiftyTrader / CNBC-TV18 poll (31 Jul 2026). Against individual broker estimates (Kotak ₹2,747 Cr, Motilal Oswal ₹2,785 Cr) PAT was a beat; MOSL said adjusted PAT was 11% above its estimate.

What the quarter told us

- **Mix shift is working:** India and Innovative Medicines carried the quarter, and the gross margin stayed above 80%.
- **Part of the margin beat was timing:** R&D at 5.4% of sales must rise to 6–7% for the rest of FY27, which costs about 100–150 bps of margin.
- **Tax is the hidden drag:** the ETR rose to 27.8% from 24.3% and will stay there until Organon closes, which alone takes about 4% off EPS.

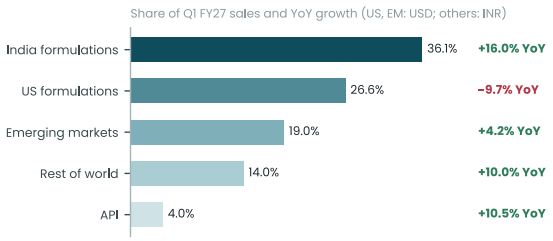
Our read. The headline "miss" is largely an artefact of the poll consensus. Operationally the quarter was in line to slightly better. What deteriorated is the *composition* of earnings: US sales fell 9.7% to $427m on lenalidomide erosion and generic competition, the tax rate rose, and Organon deal costs (₹167 Cr) appeared in exceptional items, with more to come. Management reiterated **high single-digit FY27 revenue growth** excluding Organon and warned against extrapolating Q1. The stock closed 0.5% lower on result day (₹1,990.5) and has since de-rated 12% as the Organon and US-pricing debate has taken over.

03 Segments: India and specialty carry the growth

Segment	Q1 FY27	YoY	% sales	FY26	FY26 YoY
India formulations	₹5,475 Cr	+16.0%	36.1%	₹19,290 Cr	+14.0%
US formulations	$427m	-9.7%	26.6%	$1,904m	+3.6% ₹
Emerging mkts	$311m	+4.2% $	~19%	$1,265m	+13.6% $
Rest of world	$218m	~+10% ₹	~14%	$969m	+14.4% $
API (external)	₹597 Cr	+10.5%	~4%	₹2,185 Cr	+26%
Innovative Med.*	**$351m**	**+12.8%**	**21.9%**	**$1,420m**	**+16.8%**

*Spans geographies, so it overlaps the regional segments. Source: company, Business Standard (31 Jul 2026), ICICI Securities. INR depreciation (~₹91.5/$ in Q4 FY26 vs ₹86.6) flatters INR growth in export segments.

REVENUE MIX, Q1 FY27



INDIA: THE COMPOUNDING FRANCHISE

Sun is No. 1 in India with an **8.5% share** (up from 8.2%). Management called the FY26 gain of 0.3 percentage points the largest since the Ranbaxy deal. Sun ranks No. 1 by prescriptions in 11–12 doctor categories. Growth was led by cardiology, CNS, gastro and orthopaedics, with 37 launches in FY26 and 5 in Q1 FY27. Top brands include Rosuvas (₹641 Cr MAT), Levipil and Gemer.

GLP-1 optionality: Sun is the No. 2 generic injectable semaglutide player (Noveltreat, with the only auto-injector) and has launched in South Africa. The oral launch is on hold after Novo Nordisk's suit in the Delhi High Court.

US: SPECIALTY RISING, GENERICS SHRINKING

In FY26 US Innovative Medicines crossed **$1bn and overtook US generics** for the first time. **Ilumya** sold $796m globally (+16.7%). **Leqselvi** (alopecia areata) launched in July 2025 after the Incyte settlement, which carries an ongoing royalty, and had its best month in June 2026 with more than 1,000 prescribers. **Unloxcyt** (cSCC, from the Checkpoint deal) launched in Q4 FY26. Product-level sales beyond Ilumya are not disclosed.

US generics are in structural decline after the lenalidomide window closed. Halol (OAI, import alert) and Baska (OAI, Dec 2025) cap new approvals from Gujarat.

INNOVATIVE MEDICINES PIPELINE

Asset	Indication	Status	Next milestone
Ilumya (tildrakizumab)	Psoriatic arthritis	sBLA accepted Mar 2026	**FDA action by 29 Oct 2026**
Fibromun	Soft-tissue sarcoma / GBM	Phase 2 done / Phase 2	Phase 3 start / filing
GL0034	Type 2 diabetes	Phase 2	Topline 2H CY27
Nidlegy (EU/ANZ)	Melanoma; BCC; cSCC	Phase 3 done; Phase 2	EMA filing (Philogen)
MM-II	Osteoarthritis pain	Phase 2 done	Out-licensing

Source: company presentation (22 May 2026). Also 552 approved ANDAs, 122 pending; 57 approved NDAs, 13 pending. About 30% of R&D goes to Innovative Medicines.

04 Organon: cheap on paper, costly in risk

DEAL TERMS

Price	$14.00/share cash; EV $11.75bn; 24% premium
Organon 2025	Revenue $6.2bn; adj. EBITDA $1.9bn; debt $8.6bn; cash $0.57bn
Implied multiple	~6.2x 2025 adj. EBITDA
Funding	$2–2.5bn internal cash + $9.25–9.75bn new debt
Company leverage guide	Net debt/EBITDA 2.3x post-transaction
Approvals	Organon shareholders approved 23 Jul 2026; filings done
Expected close	Early 2027 (Q4 FY27)
Financing step	Board considered NCDs up to ₹15,000 Cr on 12 Oct 2026

Source: Organon SEC 8-K (27 Apr 2026), Business Standard (28 Apr 2026), Organon 10-Q, BSE filing (7 Oct 2026).

OUR FY28E PRO-FORMA EPS BRIDGE (₹ CR)

Item	₹ Cr
Organon EBITDA (assumed $1.8bn, flat-to-down)	16,380
Less: D&A (assumed $300m)	(2,730)
Less: interest on $9.5bn at 6.5%	(5,619)
Less: lost income on $2.25bn cash at 6%	(1,228)
Incremental PBT	6,802
Tax at 25%	(1,701)
Incremental PAT	**5,102**
Incremental EPS (₹)	21.3
Standalone FY28E adj. EPS (₹)	59.1
Pro-forma FY28E EPS (₹)	**80.3**

All Organon inputs are **our assumptions** (₹91/$). They exclude PPA amortisation and synergies. ICICI Securities' combined FY28E adj. EPS is ₹89.1, which implies more optimistic Organon earnings or synergies.

What the deal buys

- Scale: about $12.4bn combined revenue, and women's health leadership.
- The No. 7 global biosimilars platform, and entry into China (~$800m) and South Korea.
- Bought at ~6x EBITDA against Sun's own ~22x: accretive on paper from year one (about +₹21 EPS on our numbers).
- Gives Sun's specialty launches a global commercial channel.

What it costs

- $3.4bn net cash becomes about ₹75,985 Cr of net debt (our estimate, ~2.1x FY28E pro-forma EBITDA; company 2.3x on 2025 EBITDA).
- Only about one-third of the combined portfolio is a growth engine; Organon's established brands are in decline.
- It doubles US exposure just as MFN pricing commitments and Section 232 tariffs reset US economics.
- It is the largest integration in Sun's history, dividends are at risk (ICICI models nil for FY27–28E), and further deal charges are guided.

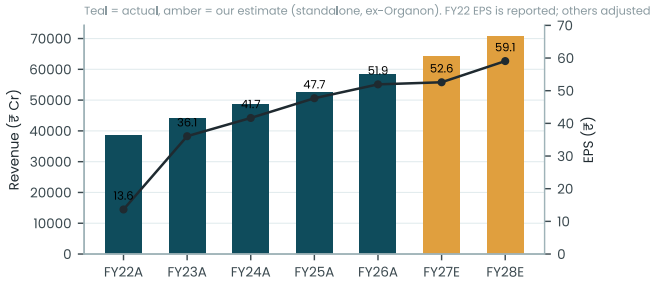
Our view. The purchase price is reasonable, but the *quality* of what is being bought is lower than Sun's own. Paying 6x for ex-growth EBITDA funded at 6–7% debt cost makes EPS go up while ROIC, balance-sheet optionality and the earnings multiple come down. The market has already responded: the stock fell 5% when the deal first leaked, FIIs have cut their stake by 2.7 points in four quarters, and Sun now trades at only a small premium to Cipla and Zydus despite better growth. We therefore value the pro-forma earnings at a lower multiple (22x) than standalone earnings (30x).

05 Financial model: standalone Sun Pharma, ex-Organon

₹ Cr, Y/E March	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from operations	**38,654**	**43,886**	**48,497**	**52,578**	**58,462**	**64,308**	**70,739**
YoY growth	–	13.5%	10.5%	8.4%	11.2%	10.0%	10.0%
EBITDA	**10,258**	**11,650**	**13,018**	**15,114**	**16,501**	**18,006**	**20,161**
EBITDA margin	26.5%	26.5%	26.8%	28.7%	28.2%	28.0%	28.5%
Other income*	(3,505)	459	865	1,444	1,895	3,000	3,200
Depreciation & amortisation	2,144	2,529	2,557	2,575	2,938	3,200	3,400
Finance cost	127	172	238	231	339	350	350
Exceptional items	0	0	0	(678)	(1,308)	(500)	0
PBT (reported)	4,481	9,408	11,088	13,752	15,119	16,956	19,611
Tax	1,092	895	1,478	2,787	3,610	4,663	5,393
Effective tax rate	24.4%	9.5%	13.3%	20.3%	23.9%	27.5%	27.5%
Net profit (incl. minority)	3,389	8,513	9,610	10,965	11,509	12,293	14,218
Adjusted PAT	**–**	**8,655**	**9,994**	**11,443**	**12,461**	**12,616**	**14,173**
Reported EPS (₹)	13.64	35.32	39.91	45.55	47.84	51.07	59.07
Adjusted EPS (₹)	**–**	**36.07**	**41.65**	**47.69**	**51.94**	**52.58**	**59.07**

Source: Screener.in consolidated (FY22A–FY26A), company releases, ICICI Securities (adjusted PAT); FY27E–FY28E are our estimates. *Historical other income is net of exceptional items as Screener reports it (FY22 includes US lawsuit settlements); forecasts show other income gross, with exceptional items shown separately. EBITDA is on Screener's basis; company-reported FY26 EBITDA was ₹17,731 Cr (30.3%).

REVENUE AND EPS TRAJECTORY



KEY FORECAST ASSUMPTIONS

Revenue growth FY27E / FY28E	**10% / 10%**
Guidance (FY27, ex-Organon)	**High single digit**
EBITDA margin FY27E / FY28E	**28.0% / 28.5%**
R&D (guided)	**6–7% of sales**
Tax rate	**27.5% (Q1: 27.8%)**
FY27E exceptional (Organon costs)	**₹(500) Cr**
Other income	**₹3,000 / 3,200 Cr**
Consensus EPS FY27E / FY28E	**~₹55 / ~₹65**

We are 4–9% below consensus, mainly on tax (27.5% vs ~25%) and on US generics drag. Our FY28E EPS of ₹59.1 implies a 6.6% two-year CAGR.

06 Balance sheet, cash flow and returns

BALANCE SHEET (₹ CR)

Y/E March	FY24A	FY25A	FY26A
Equity capital	240	240	240
Reserves	63,427	71,978	83,330
Net worth	**63,667**	**72,218**	**83,570**
Borrowings	3,274	2,362	4,627
Other liabilities	18,387	17,328	20,210
Total assets	**85,328**	**91,908**	**1,08,407**
Fixed assets incl. intangibles	23,248	22,586	32,822
Goodwill	–	8,939	9,833
CWIP	5,354	6,644	3,052
Investments	15,026	18,354	24,723
Cash & equivalents	–	10,269	9,771
Receivables	–	13,046	15,510
Inventory	–	10,243	11,493
Net cash (cash + inv. - debt)	**–**	**~26,261**	**~29,867**

Source: Screener.in; ICICI Securities for goodwill and working-capital lines. Net cash is our calculation; consistent with the CFO's "$3.4bn net cash" (31 Jul 2026). Forecast balance sheets are omitted: Organon closes in Q4 FY27 and will reshape them.

CASH FLOW (₹ CR)

Y/E March	FY24A	FY25A	FY26A
Cash from operations	**12,135**	**14,072**	**12,419**
Capex (CFO - FCF)	(2,171)	(2,067)	(3,513)
Free cash flow	**9,964**	**12,005**	**8,906**
Capex incl. intangibles (ICICI)	–	(2,068)	(6,918)
FCF after intangibles	–	12,005	5,501
Cash from investing	(763)	(5,183)	(10,405)
Cash from financing	(6,710)	(7,906)	(2,513)
Dividends paid	–	(3,617)	(3,938)
CFO / EBITDA	105%	96%	89%

RETURN AND EFFICIENCY RATIOS

Ratio	FY24A	FY25A	FY26A
ROE	15.7%	15.8%	14.9%
ROCE	17%	20%	21%
Debtor days	85	91	97
Inventory days	338	348	363
Payable days	194	210	232
Cash conversion cycle	229	228	228
DPS (₹)	–	16.0	16.0
Dividend payout	34%	35%	33%

Source: Screener.in, ICICI Securities, company. FY24 DPS not verified.

> *The quality-of-earnings flag: EBITDA grew in FY26 but operating cash flow fell 12%. Receivable days rose to 97 and inventory days to 363, and FCF after intangible purchases halved to ₹5,501 Cr. Exceptional charges (litigation, impairment, M&A) have recurred every year, worth ₹500–1,300 Cr annually.*

Before Organon, the balance sheet was a fortress: about ₹29,900 Cr of net cash (about 7% of market cap) and ROCE of 21%. ROE stuck at 15–16% reflects that idle cash. That is the strongest argument *for* Organon, because deploying cash at around 6x EBITDA lifts ROE mechanically. The counter-argument is that it swaps optionality for leverage at a point in the cycle when Indian rates are rising (RBI hiked 25 bps to 5.50% on 7 Oct 2026) and US pricing is being renegotiated.

07 Valuation: fairly priced, not cheap

Method (FY28E basis)	EPS (₹)	P/E	Value (₹)	Rationale
Standalone (ex-Organon)	59.1	30x	1,772	Discount to the 38x MOSL uses, for lower EPS growth and a higher tax rate
Pro-forma with Organon	80.3	22x	1,767	Lower multiple for leverage and the ex-growth Organon mix
Fair value (average)			**1,770**	+0.6% vs CMP ₹1,760

SENSITIVITY: VALUE PER SHARE (₹) BY FY28E STANDALONE EPS AND P/E

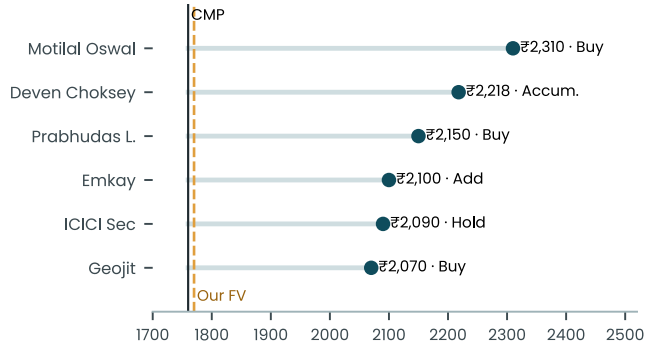
P/E \ EPS	₹50	₹55	₹59.1	₹63	₹67
24x	1,200	1,320	1,418	1,512	1,608
27x	1,350	1,485	1,596	1,701	1,809
30x	1,500	1,650	1,773	1,890	2,010
33x	1,650	1,815	1,950	2,079	2,211
36x	1,800	1,980	2,128	2,268	2,412

Base case: 30x on ₹59.1. Consensus (~₹65) at 33x gives about ₹2,140, the bull case.

SCENARIO ANALYSIS (12 MONTHS)

Case	EPS	P/E	Value	vs CMP	Key assumption
Bull	63.0	34x	2,142	+22%	Ilumya PsA approved, Organon accretive, India 15%+
Base	59.1	30x / 22x PF	1,770	+1%	Guidance delivered, Organon closes on time
Bear	55.0	25x	1,375	-22%	US generics slide, tariff or MFN hit, integration drag

BROKERS AFTER Q1 FY27 VS OUR FAIR VALUE



Source: Trendlyne, broker notes (Aug 2026). No post-results targets were found from foreign brokers; HDFC Securities was at Buy ₹2,120 pre-results. The Street is more optimistic than we are, because brokers capitalise Organon accretion at Sun's own multiple.

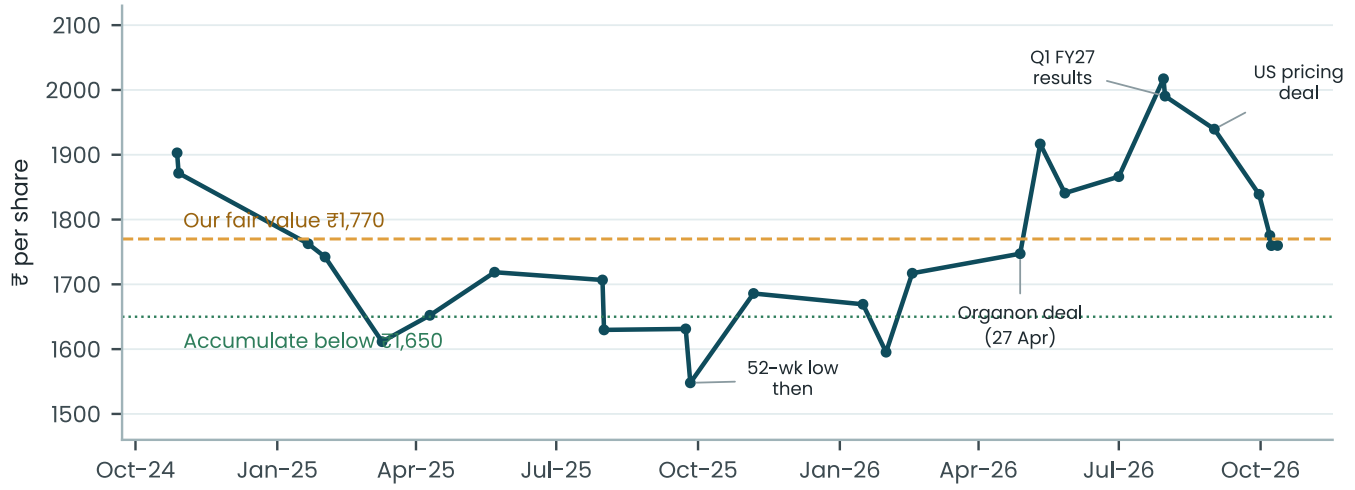
PEER SNAPSHOT (OCT 2026)

Company	Mkt cap (₹ Cr)	TTM P/E	1-yr return	EBITDA margin	ROE	US % of sales
Sun Pharma	**4,22,259**	**33.5**	**+6.1%**	**28.9% (Q1)**	**16%**	**~27%**
Zydus Lifesciences	1,11,471	31.7	+124%	–	–	–
Cipla	1,05,104	34.3	-14.0%	–	–	–
Dr Reddy's	~1,00,000	31.0	–	–	–	–
Lupin / Divi's / Torrent / Mankind / Aurobindo	–	–	–	–	–	–

Source: Screener.in, Kotak Neo, ad-hoc-news (9–12 Oct 2026). Dashes = not verified at October 2026 dates. Sun trades at only a ~5% TTM premium to Cipla, Zydus and Dr Reddy's despite faster India growth and a $1.4bn innovative franchise: the market is already discounting Organon. Sun's 5-year P/E band could not be sourced.

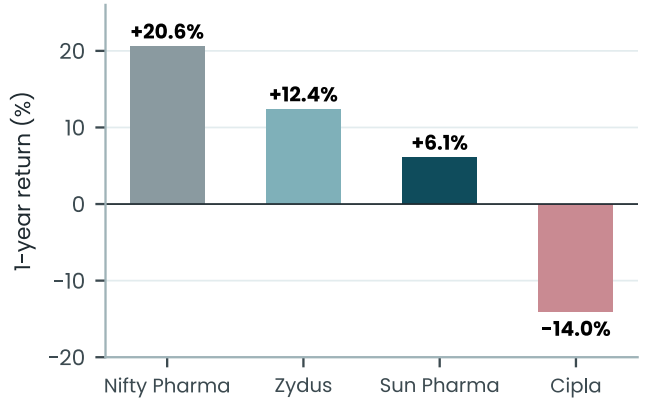
08 Price performance and positioning

SUN PHARMA SHARE PRICE: DATED OBSERVATIONS, OCT 2024 – OCT 2026 (₹)



The line connects dated price points from Trendlyne report-date prices, Business Standard, Kotak Neo and Upstox closes. It is not a continuous daily series. The 52-week high of ₹2,046.9 was hit in Aug–Sep 2026 (exact date not verified).

1-YEAR RETURNS TO 8–12 OCT 2026



Source: ICICI Direct, Tickertape / INDmoney (Nifty Pharma +20.5–20.8%), Kotak Neo.

SHAREHOLDING TREND (%)

Holder	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Promoters	54.48	54.48	54.48	54.48	54.48
FIIs	17.26	16.55	16.12	15.94	14.54
DIIs	19.38	20.12	20.72	21.00	22.06
Govt	0.11	0.11	0.11	0.11	0.11
Public	8.76	8.72	8.57	8.48	8.81

Source: Screener.in (BSE filings). Promoter pledge not verified.

Positioning read. Foreign investors have sold 2.7 points in four quarters and domestic funds have absorbed the selling. Over two years the stock is **down ~7.5%** (₹1,903 → ₹1,760) while the Nifty Pharma is **up ~9.6%**. The stock is below its 50-DMA (₹1,892) and 200-DMA (₹1,807), with an RSI of 34. Sentiment is washed out but has not yet turned.

09 Catalysts, risks and what would change our mind

29 Oct 2026	**Ilumya psoriatic arthritis: FDA action date.** Approval extends a $796m franchise into a large indication and is our main upgrade trigger. A complete response letter would weaken the specialty thesis.
~3 Nov 2026	**Q2 FY27 results** (date not confirmed). Watch for US generics stabilising, R&D stepping up toward 6–7%, the tax rate and further Organon charges.
Q3 FY27	**Organon financing:** NCD terms (up to ₹15,000 Cr) and USD debt pricing. Every 50 bps on $9.5bn is about ₹430 Cr of PBT.
Q4 FY27	**Organon close**, first combined guidance and synergy targets.
By Apr 2027	**Section 232 review of generics.** Commerce is due to report on whether generics need tariff action.

Bull case: why own it

- India compounds at mid-teens with share gains, plus GLP-1 optionality.
- Innovative Medicines ($1.42bn, +16.8%) is now bigger than US generics; Ilumya PsA, Leqselvi and Unloxcyt are all early in their ramps.
- Organon at ~6x EBITDA is accretive, and pro-forma FY28E P/E falls to ~22x.
- Tariff overhang reduced: generics exempt, specialty deferred for more than two years.
- Sentiment washed out: 14% off the high, about 15 points behind the sector, with every post-results broker target above the CMP.

Bear case: why stay away

- The balance sheet flips from $3.4bn net cash to ~2x leverage; it is Sun's first integration of this size.
- US generics shrinking with no replacement; MFN commitments cap pricing on all future launches.
- FY27 EPS growth muted by a 27.8% tax rate, an R&D step-up, deal costs and interest.
- Halol and Baska both OAI; working capital is lengthening and exceptional charges recur every year.
- Macro: RBI hiking, 10Y above 7.3%, FIIs exiting defensives, dividends at risk.

KEY RISKS TO OUR VIEW

Regulatory	Halol (OAI, import alert since Sep 2025) and Baska (OAI, Dec 2025). Mohali and Dadra status not verified. Any new warning letter would hit US launches.
US pricing	The September 2026 deal extends MFN pricing to Medicaid and all future innovative launches. Its terms are confidential and its financial impact is unquantified.
Leverage / FX	About ₹76,000 Cr of pro-forma net debt (our estimate). A stronger rupee would reverse the FX tailwind on the ~60% of sales earned outside India.
Litigation	Oral semaglutide is blocked in India (Novo Nordisk). Leqselvi carries an Incyte royalty. US litigation settlements recur.

> *Upgrade to OWN if: Ilumya PsA is approved, Organon financing comes in at 6% or less, and Q2 shows US generics bottoming. Move to AVOID if: Organon synergies disappoint, generics are tariffed, or another site is classified OAI.*

10 Disclosures, methodology and sources

Author: Pratik Priyaranjan Sahoo (sahoopratik111@gmail.com). This is an independent, illustrative buy-side investment memo prepared for educational and analytical purposes. It is not investment advice and is not issued by a SEBI-registered research analyst or intermediary. The author's holdings in the subject company: [to be declared].

Rating framework (buy-side, 12-month): OWN: expected total return above 15%, or a clear thesis-driven re-rating. **HOLD**: fairly valued; maintain or accumulate on weakness. **AVOID**: expected return below the cost of equity (~12–13%), or a deteriorating thesis.

Methodology: The forecasts are for standalone Sun Pharma excluding Organon. Organon is layered on as a separately stated pro-forma FY28E EPS overlay; its inputs are our assumptions (EBITDA $1.8bn, D&A $300m, $9.5bn new debt at 6.5%, $2.25bn cash used, 25% tax, ₹91/$) and exclude PPA amortisation and synergies. Fair value is the average of 30x standalone FY28E EPS and 22x pro-forma FY28E EPS. Market data is as of the 12 Oct 2026 close (₹1,760).

Not verified / limitations: beta and average volumes; FY22–FY24 cost splits and R&D; full exceptional-item descriptions for FY24 and FY26; product-level US sales (not disclosed); India MR and field-force data; Mohali and Dadra status; foreign-broker targets after Q1; post-results consensus revisions; the 5-year P/E band; full peer multiples; a continuous price series. Q2 FY27 has not yet been reported. Several broker targets come from republished summaries rather than original PDFs.

Sources: Sun Pharma press releases and investor presentations (22 May 2026; 31 Jul 2026) and the Q1 FY27 call transcript; BSE filings (1 Oct and 7 Oct 2026); Organon SEC 8-K (27 Apr 2026) and 10-Q; Incyte 10-Q; Screener.in consolidated financials (12 Oct 2026); ICICI Securities result update (2 Aug 2026); Motilal Oswal, Prabhudas Lilladher, Emkay, Geojit and Deven Choksey notes via Trendlyne, PL India and InvestmentGuruIndia (Aug 2026); Business Standard (Q1 FY27 results 31 Jul 2026; Organon 28 Apr 2026; Halol OAI 9 Sep 2025; Baska 18 Dec 2025; Section 232, 29 Sep 2026); Kotak Neo, Sahi, NiftyTrader, Multibagg, Investing.com, ICICI Direct, Dhan and Trendlyne (market data); Medical Dialogues (semaglutide); Trading Economics and Investing.com (10Y G-Sec); Tickertape and INDmoney (Nifty Pharma).

Investments in securities markets are subject to market risk. Past performance is not indicative of future results. Information has been obtained from public sources believed to be reliable, but its accuracy is not guaranteed. Readers should do their own research and consult a registered adviser before investing.